

Recommendation **BUY** ★ ★ ★ ★ ★

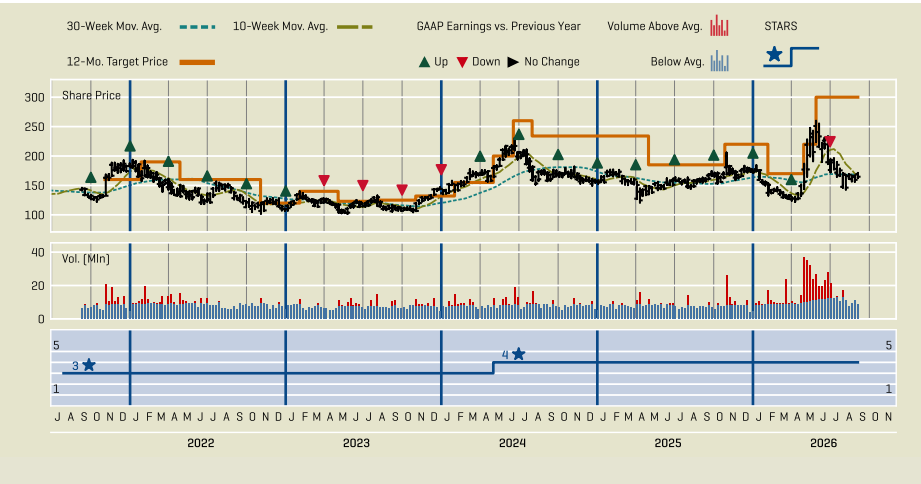
Price USD 168.74 [as of market close Sep 04, 2026] 12-Mo. Target Price USD 300.00 Report Currency USD Investment Style Large-Cap Blend

Equity Analyst **Angelo Zino, CFA**

GICS Sector Information Technology Sub-Industry Semiconductors Summary Qualcomm focuses on developing products and services based on its advanced wireless broadband technology.

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]									
52-Wk Range	USD 259.92 - 121.99	Oper.EPS2026E	USD 10.54	Market Capitalization[B]	USD 180.04	Beta	1.68		
Trailing 12-Month EPS	USD 11.36	Oper.EPS2027E	USD 10.18	Yield [%]	2.18	3-yr Proj. EPS CAGR[%]	6		
Trailing 12-Month P/E	14.85	P/E on Oper.EPS2026E	16.01	Dividend Rate/Share	USD 3.68	SPGMI's Quality Ranking	B+		
USD 10K Invested 5 Yrs Ago	12,950.0	Common Shares Outstg.[M]	1,057.00	Trailing 12-Month Dividend	USD 4.51	Institutional Ownership [%]	45.0		

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Angelo Zino, CFA** on Jul 29, 2026 10:50 PM ET, when the stock traded at **USD 155.68**.

Highlights

- ▶ We expect sales to decline 1% in FY 27 (Sep.) after a 3% decline in FY 26, with double-digit growth returning in FY 28 fueled by non-handset mix. Jun-Q revenues of \$9.9B declined 4% Y/Y, with handset revenues down 20% due to memory supply constraints. Diversification accelerating with automotive hitting record \$1.6B (+61% Y/Y) and IoT at \$1.8B (+9% Y/Y). Non-handset revenues now represent ~40% of QCT vs. ~30% prior year. Management raised automotive target to ~\$7B annualized by FY 26, supported by BMW agreement and \$7B+ industrial pipeline.
- ▶ Gross margin compressed to ~53.1% from ~55.6% due to input cost increases across fabrication, assembly, and memory. QCT EBT margin of 26% below historical norms. QCOM implementing double-digit price increases with gradual margin recovery expected. Data center revenues beginning Dec-Q expected to be dilutive to QCT margins by ~1.5%-2.0%.
- ▶ We adjust FY 26 EPS to \$10.54 [from \$10.67] and FY 27 to \$10.18 [from \$10.75], keeping FY 28 at \$12.15. Accelerated Apple exit reduces revenues below prior \$2B+ guidance, but over 60% Y/Y non-handset growth expected to replace Apple revenues. \$20B share repurchase remains with quarterly dividend of \$0.92/share [+3.4%].

Investment Rationale/Risk

- ▶ Our Buy reflects QCOM's diversification strategy with momentum in automotive, IoT, and data center opportunities, reducing handset reliance and mitigating Apple risks. Data center strategy targets over \$15B revenue by FY 29 with Meta/Microsoft as customers, while automotive shows 23 consecutive quarters of double-digit growth. With handsets expected at about one-third of QCT by FY 29, we see a shift toward a durable, multi-vertical AI platform. Trading below peers/historical averages, market is overly focused on near-term headwinds versus high-growth progress.
- ▶ Risks include memory supply constraints extending handset downturn into CY 27, accelerated Apple exit reducing revenues, and geopolitical uncertainties given ~75% international exposure with China at over 45% of sales. Competitive pressures from Huawei and domestic producers represent additional headwinds.
- ▶ Our \$300 target implies P/E of ~24x CY 28 EPS estimate of \$12.50, above peers/historical averages [10-year at 16x] reflecting diversified revenue mix with data center/automotive momentum warranting higher valuation. DCF model shows \$178 implied valuation assuming 8.7% WACC, 1.2 beta, 4% terminal growth.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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QCOM's intellectual property and strong service provider relationships help to position it well in its segment. With its healthy cash flow, the company's cash balance can support potentially weaker demand from customers and litigation risks related to its code-division multiple access (CDMA) patents.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2028	E 11,796	E 12,110	E 12,445	E 13,341	E 49,691
2027	E 10,552	E 10,272	E 10,521	E 11,302	E 42,647
2026	12,252	10,599	9,947	E 10,081	E 42,879
2025	11,669	10,979	10,365	11,271	44,284
2024	9,935	9,389	9,393	10,244	38,962
2023	9,463	9,275	8,451	8,631	35,820

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2028	E 2.99	E 2.83	E 2.98	E 3.36	E 12.15
2027	E 2.54	E 2.41	E 2.46	E 2.77	E 10.18
2026	3.50	2.65	2.21	E 2.18	E 10.54
2025	3.41	2.85	2.77	3.00	12.03
2024	2.75	2.44	2.33	2.69	10.22
2023	2.37	2.15	1.87	2.02	8.43

Fiscal Year ended Sep 30. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.9200	Jul 09	Sep 03	Sep 03	Sep 24 '26
0.9200	Apr 01	Jun 04	Jun 04	Jun 25 '26
0.8900	Jan 12	Mar 05	Mar 05	Mar 26 '26
0.8900	Oct 06	Dec 04	Dec 04	Dec 18 '25

Dividends have been paid since 2003 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Business Summary Jul 29, 2026

Corporate Overview. QUALCOMM Incorporated (QCOM) operates as a global leader in the development and commercialization of foundational technologies for the wireless industry, including 3G (third generation), 4G (fourth generation), and 5G (fifth generation) wireless technologies and processor technologies, including high-performance, low-power computing, and on-device artificial intelligence (AI) technologies.

The company operates through three segments: Qualcomm CDMA Technologies (QCT); Qualcomm Technology Licensing (QTL); and Qualcomm Strategic Initiatives (QSI).

QCT develops and supplies integrated circuits and system software based on CDMA, OFDMA, and other technologies for use in voice and data communications, networking, application processing, multimedia, and global positioning system (GPS) products. QTL Integrated circuit products are sold and its system software is licensed to manufacturers that use QCOM's products in wireless devices, primarily mobile phones, tablets, laptops, data modules, handheld wireless computers and gaming devices, access points and routers, data cards, and infrastructure equipment; and in wired devices, primarily broadband gateway equipment, desktop computers, and streaming media players.

The QTL segment grants licenses to use portions of QCOM's intellectual property portfolio, which include certain patent rights essential to and/or useful in the manufacture and sale of certain wireless products, including products implementing CDMA2000, WCDMA, CDMA time division duplex, and/or LTE standards and their derivatives. QCOM's licensees manufacture wireless products, including mobile devices, other consumer devices, and machine-to-machine devices, among other things.

The QSI segment makes strategic investments that are focused on opening new or expanding opportunities for its technologies and supporting the design and introduction of new products and services (or improving existing products or services) for voice and data communications. The majority of these strategic investments are in early-stage companies in various industries, including digital media, e-commerce, energy, health care, and wearable devices.

Legal/Regulatory Issues. On October 10, 2025, China's State Administration for Market Regulation (SAMR) opened an antitrust investigation into QCOM regarding its acquisition of Israeli automotive chip firm Autotalks. The probe alleges QCOM failed to properly notify Chinese regulators of the deal concentration, violating anti-monopoly laws. QCOM originally announced its intent to acquire Autotalks, a V2X (vehicle-to-everything) communication chip company back in 2023, and the deal was completed in June 2024, with the strategic rationale to expand QCOM's automotive portfolio with connected vehicle safety technology. While the immediate financial penalty risk appears modest, this investigation underscores the ongoing regulatory vulnerability of U.S. semiconductor companies in China. Given China's strategic importance to QCOM's business model (over 45% of sales), we note inherent risks. Yet, we think the strategy by China is to try to grab as much leverage as possible ahead of potential Trump-Xi meetings, suggesting geopolitical motivations beyond pure antitrust concerns.

Impact of Major Developments. On June 9, 2025, QCOM announced its intent to acquire Alphawave, a provider of high-speed wired connectivity and compute technologies, for an enterprise value of \$2.4 billion. The deal was completed in December 2025. Strategically, Alphawave is highly complementary to QCOM's Oryon CPU and Hexagon NPUs, as the company aims to increasingly push into AI inferencing and high-performance computing in data centers. We note that Alphawave's expertise is in developing custom silicon and connectivity products that support faster and more reliable data transfer with lower power use and higher performance.

In October 2021, QCOM and SSW Partners, a New York-based investment partnership, entered into a definitive agreement to acquire Veoneer, Inc. (Veoneer) for \$37.00 per share in cash, which valued the estimated total cash consideration to be paid to Veoneer's shareholders at approximately \$4.5 billion. SSW Partners acquired all of the outstanding capital stock of Veoneer, at which point it sold Veoneer's Arriver business to Qualcomm and retained Veoneer's Tier-1 automotive supplier businesses. QCOM has incorporated Arriver's computer vision, drive policy, and driver assistance technologies into its Snapdragon automotive platform to deliver an open and competitive ADAS platform for automakers and Tier-1 automotive suppliers. The acquisition closed in early 2022.

On March 16, 2021, QCOM completed the acquisition of NUVIA for \$1.1 billion, net of cash acquired. NUVIA had certain in-process technologies and was comprised of a CPU (central processing unit) and technology design team with expertise in high performance processors, SoC (system-on-chip), and power management for compute intensive devices and applications. NUVIA's technologies were integrated into certain QCT products.

Cristiano Amon succeeded Steve Mollenkopf as CEO, effective June 30, 2021.

Financial Trends. The company posted FY 25 (Sep.) non-GAAP revenues and EPS growth of 13% and 18%, respectively. In QCT, the company saw revenue increase 13%, while EBT margin expanded 100 basis points to 29% in FY 25. QTL revenues fell by 7% while EBT margin compressed 200 basis points to 72%, partly constrained by lower handset volume. QCOM also returned \$12.6 billion of its free cash flow through dividends and stock repurchases. Results for the year demonstrated the company's ability to drive earnings growth amid portfolio transitions.

Corporate information

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Executive VP, CFO & COO A. Palkhiwala	CEO, President & Director C. R. Amon
Independent Chairman of the Board M. D. McLaughlin	
Board Members	
A. M. Livermore	J. Tricoire
C. R. Amon	J. W. Henderson
E. Salvatori	M. D. McLaughlin
I. B. Rosenfeld	M. E. Myers
J. Kolter	M. Fields
J. S. Miller	S. Acevedo
Domicile Delaware	Auditor PricewaterhouseCoopers LLP
Founded 1985	
Employees 52,000	
Stockholders 5,564	

QUALCOMM Incorporated

Quantitative Evaluations						
Fair Value Rank		1	2	3	4	5
		LOWEST		HIGHEST		
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).				
Fair Value Calculation		USD 170.56	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that QCOM is undervalued by USD 1.82 or 1.08%			
Volatility		LOW		AVERAGE		HIGH
Technical Evaluation		NEUTRAL	Since May, 2026, the technical indicators for QCOM have been NEUTRAL"			
Insider Activity		UNFAVORABLE		NEUTRAL		FAVORABLE

Expanded Ratio Analysis					
		2025	2024	2023	2022
Price/Sales		4.22	4.93	3.38	3.12
Price/EBITDA		13.36	16.08	11.59	8.32
Price/Pretax Income		14.76	18.60	16.29	9.19
P/E Ratio		14.06	16.65	12.77	9.67
Avg. Diluted Shares Outstg. [M]		1,105.00	1,130.00	1,126.00	1,137.00
Figures based on fiscal year-end price					
Key Growth Rates and Averages					
Past Growth Rate [%]			1 Year	3 Years	5 Years
Net Income			NM	NM	1.29
Sales			13.66	0.06	13.48
Ratio Analysis [Annual Avg.]					
Net Margin [%]			12.51	19.58	22.99
% LT Debt to Capitalization			40.19	36.83	40.46
Return on Equity [%]			23.34	34.22	61.68

Company Financials Fiscal year ending Sep 30										
Per Share Data [USD]	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Tangible Book Value	8.10	12.79	8.56	5.02	1.11	-1.68	-3.10	-7.09	13.83	15.31
Free Cash Flow	11.70	10.00	8.82	6.09	7.65	3.88	5.29	2.14	2.92	4.94
Earnings	5.01	8.94	6.52	11.41	7.87	4.52	3.59	-3.39	1.64	3.81
Earnings [Normalized]	12.03	10.22	8.43	12.53	8.54	4.19	3.54	3.69	4.28	4.44
Dividends	3.48	3.30	3.10	2.86	2.66	2.54	2.48	2.38	2.20	2.02
Payout Ratio [%]	68.67	36.35	47.87	24.83	33.26	55.44	67.67	NM	133.00	52.41
Prices: High	182.10	230.63	139.94	193.58	167.94	123.93	90.34	76.50	71.62	64.00
Prices: Low	120.80	104.33	101.47	118.22	114.92	58.00	49.10	48.56	48.92	42.24
P/E Ratio: High	15.10	22.60	16.60	15.40	19.70	29.60	25.50	20.70	16.70	14.40
P/E Ratio: Low	10.00	10.20	12.00	9.40	13.50	13.80	13.90	13.20	11.40	9.50
Income Statement Analysis [Million USD]										
Revenue	44,284	38,962	35,820	44,200	33,566	23,531	24,273	22,611	22,258	23,554
Operating Income	12,394	10,253	8,650	14,801	9,789	6,227	8,081	3,774	4,582	6,812
Depreciation + Amortization	1,602	1,706	1,809	1,762	1,582	1,393	1,401	1,561	1,461	1,428
Interest Expense	664.00	697.00	694.00	490.00	559.00	602.00	627.00	768.00	494.00	297.00
Pretax Income	12,663	10,336	7,443	14,998	10,274	5,719	7,481	392.00	2,987	6,833
Effective Tax Rate	56.20	2.20	1.40	13.40	12.00	9.10	41.40	1,366	18.20	16.60
Net Income	5,541	10,142	7,232	12,936	9,043	5,198	4,386	NM	2,445	5,705
Net Income [Normalized]	7,823	6,505	5,213	8,898	5,881	3,619	4,792	2,198	2,898	4,399
Balance Sheet and Other Financial Data [Million USD]										
Cash	10,155	13,300	11,324	6,382	12,414	11,214	12,260	12,088	37,308	18,648
Current Assets	25,754	25,231	22,464	20,724	20,075	18,519	16,765	17,384	43,593	22,981
Total Assets	50,143	55,154	51,040	49,014	41,240	35,594	32,957	32,718	65,486	52,359
Current Liabilities	9,144	10,504	9,628	11,866	11,951	8,672	8,935	11,389	10,907	7,311
Long Term Debt	14,811	13,270	14,484	13,537	13,701	15,226	13,437	15,365	19,398	10,008
Total Capital	36,849	41,714	37,648	34,172	26,249	22,308	20,842	17,177	52,639	43,525
Capital Expenditures	1,192	1,041	1,450	2,262	1,888	1,407	887.00	784.00	690.00	539.00
Cash from Operations	14,012	12,202	11,299	9,096	10,536	5,814	7,286	3,908	5,001	7,632
Current Ratio	2.82	2.40	2.33	1.75	1.68	2.14	1.88	1.53	4.00	3.14
% Long Term Debt of Capitalization	40.20	31.80	38.50	39.60	52.20	68.30	64.50	89.50	36.90	23.00
% Net Income of Revenue	12.50	26.00	20.20	29.30	26.90	22.10	18.10	-22.00	11.00	24.20
% Return on Assets	14.71	12.07	10.81	20.50	15.93	11.35	15.38	4.80	4.86	8.25
% Return on Equity	23.30	42.30	37.10	92.90	112.80	94.60	153.50	-31.50	7.80	18.00

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

QUALCOMM Incorporated

Sub-Industry Outlook

We have a positive fundamental outlook for the Semiconductors sub-industry over the next 12 months. We expect semiconductor sales to rise more than 55% in 2026 and at an additional pace of over 20% in 2027, after a 22% boost in 2025 and a 21% increase in 2024. We think revenue growth in the next 12 months, from a component perspective, should benefit from higher capital spending on greater compute, networking, and memory tools for GenAI capabilities among the major cloud providers.

For 2026, we see the greatest variability to our growth expectations coming from the memory side, which remains extremely supply-constrained and will likely remain so well through 2027 (and is heavily driving our 2026 growth forecast with revenue now seen at over \$1.2T). Spot memory prices have grown sharply in recent quarters and are likely to remain stubbornly high well through 2027, while supply constraints and energy bottlenecks pose downside risks to both AI server installations and end-markets like PCs (where we expect vendors to raise prices to offset higher component costs, hurting end-demand). Demand for AI workloads remains unrelentingly strong, leading to incredible profitability for the industry, while more mature/cyclical PC/smartphone orders are likely to be negatively impacted by the memory constraints.

Customer capex expectations have risen, with visibility improving for 2026, as we see capex growth of at least 90% [up from 30% at the start of the year]. We project data center capital spending rose more than 45% in 2025 after a growth pace of over 40% in 2024. We estimate both Meta’s and Alphabet’s spending will nearly double in 2026, while Microsoft looks to accelerate capex spending as well. The four major hyperscalers have virtually doubled capex spending in the last two years. We also note that the Stargate Project venture provides upside, especially tied to potential Sovereign AI deals [e.g., Saudi Arabia].

The magnitude of the analog recovery looks to be gaining steam after a downward slope for nearly

three years. We currently forecast the recovery to see improving orders through 2027, benefiting from healthy fundamentals across cyclical markets and improving power management content across the data center space. As a reminder, we do not think the auto industry needs to see significant growth for this thesis to play out given the ongoing shift toward higher semiconductor content in vehicles [e.g., we note this is taking place at a faster pace in China than in Western markets].

We believe the semiconductor industry is in the midst of a decade-long supercycle as content growth per device across a host of markets accelerates, due to the emergence of greater AI capabilities.

While companies that outsource manufacturing typically have more stability in gross margins, others with their own manufacturing see more variability. Industry margins are a function of manufacturing utilization and inventory supply-demand imbalances. We forecast some companies, especially in analog, will maintain higher inventories. Healthy free cash flow and high cash levels will likely result in greater shareholder returns via share repurchases. Regulatory and geopolitical uncertainties are risks.

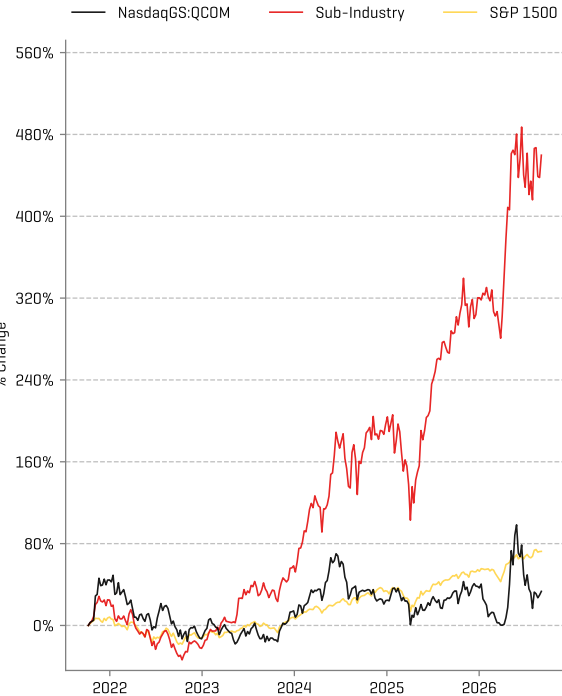
Year-to-date through July 3, 2026, the S&P Semiconductors sub-industry rose 28.0% versus a 9.9% rise for the S&P 1500. In 2025, the sub-industry rose 42.9%, above the 15.5% increase for the S&P 1500.

/ Angelo Zino, CFA

Industry Performance

GICS Sector: Information Technology
 Sub-Industry: Semiconductors

Based on S&P 1500 Indexes
 Five-Year market price performance through Sep 05, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Semiconductors Peer Group*: Semiconductors

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
QUALCOMM Incorporated	QCOM	NasdaqGS	USD	168.57	180,043.0	3.6	7.2	15.0	170.56	2.2	33.8	29.8
Analog Devices, Inc.	ADI	NasdaqGS	USD	356.50	172,748.0	-6.3	45.8	32.0	284.50	1.2	12.2	15.9
Arm Holdings plc	ARM	NasdaqGS	USD	242.59	259,105.0	-13.5	84.6	248.0	145.24	N/A	13.4	N/A
Astera Labs, Inc.	ALAB	NasdaqGS	USD	282.82	49,065.0	-21.8	60.1	139.0	206.10	N/A	25.8	N/A
Cerebras Systems Inc.	CBRS	NasdaqGS	USD	190.44	45,242.0	-16.2	N/A	NM	N/A	N/A	N/A	1.7
Marvell Technology, Inc.	MRVL	NasdaqGS	USD	208.83	183,129.0	-4.5	235.2	63.0	157.56	0.1	16.5	20.8
Microchip Technology Incorporated	MCHP	NasdaqGS	USD	73.11	39,699.0	-9.4	15.5	34.0	46.28	2.5	7.2	45.2
Monolithic Power Systems, Inc.	MPWR	NasdaqGS	USD	1,213.65	59,642.0	-9.1	46.6	57.0	1,094.52	0.7	22.0	N/A
NXP Semiconductors N.V.	NXPI	NasdaqGS	USD	224.99	56,734.0	-5.3	-1.4	17.0	N/A	1.8	27.9	43.9
STMicroelectronics N.V.	STM	NYSE	USD	51.28	45,552.0	-5.4	98.8	61.0	N/A	0.6	2.7	13.1
Texas Instruments Incorporated	TXN	NasdaqGS	USD	253.83	231,810.0	-10.5	29.7	38.0	240.60	2.2	35.2	40.2

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

QUALCOMM Incorporated

Analyst Research Notes and other Company News

July 29, 2026

10:50 PM ET... CFRA maintains Buy Opinion on Shares of QUALCOMM Inc. [QCOM 155.68****]:
We keep our 12-month target of \$300, on P/E of ~24x our CY 2028 EPS view of \$12.50, above peers/historical [10-year average at 16x] to reflect bottoming fundamentals. After mixed Jun-Q results, we adjust our FY 26 [Sep.] EPS estimate to \$10.54 from \$10.67 and FY 27 to \$10.18 from \$10.75. We keep FY 28 at \$12.15. Revenue faces ongoing headwinds from elevated memory costs and supply constraints, while automotive/IoT remain bright spots. A key negative development was the accelerated Apple modern share loss, with QCOM's share in the next iPhone declining materially below prior 20% estimates, fueling an anticipated ~50% sequential Apple revenue decline from Q3 to Q4. QCOM expressed confidence that China handset revenues troughed in Jun-Q, projecting double-digit sequential growth in Q4 as channel inventories normalize. We believe the data center opportunity – targeting \$5B in FY 27 and \$15B+ by FY 29 – represents the most significant long-term catalyst, with first hyperscaler revenues expected in December 2026. / Angelo Zino, CFA

July 29, 2026

04:36 PM ET... QCOM: Jun-Q Beat While Sep-Q Guide Light; Solid Results Amid Constraints [QCOM 162.88****]:
QCOM's Jun-Q revenues of \$9,947M [-4% Y/Y] beat expectations of \$9,672M, while Non-GAAP EPS of \$2.21 [-20% Y/Y] was in-line with \$2.22 consensus. Results were solid amid handset headwinds, with handset revenues declining 20% Y/Y to \$5,086M, offset by accelerating automotive [+61% Y/Y to \$1,588M] marking the 23rd consecutive quarter of double-digit growth. We view diversification momentum positively, with combined auto+IoT now representing 40% of QCT revenues versus 30% a year ago. Sep-Q guidance of \$9.7B-\$10.5B revenues and \$2.05-\$2.25 EPS came below consensus of \$10.1B and \$2.38. Margin pressures persist with gross margin compressing to 53.1% from 55.6% due to industry-wide input cost increases, though pricing actions are underway. We believe the long-term diversification strategy remains on track, with management reiterating non-handset revenue growth targets of >60% in FY27 and \$40B by FY29, supported by Modular acquisition and data center initiatives with Meta and Microsoft as anchor customers. / Angelo Zino, CFA

June 24, 2026

11:32 PM ET... QCOM: Key Takeaways from Analyst Day [QCOM 221.90****]:
At its Analyst Day, QCOM unveiled a comprehensive data center AI strategy targeting over \$15B in revenue by FY 29 [Sep.], raising total non-handset revenue target to \$40B [double the prior target] and citing FY 29 EPS of over \$18.00 vs. \$14.42 consensus. QCOM revealed Meta and Microsoft as anchor customers for its Dragonfly portfolio, providing meaningful commercial validation to previously promise-heavy data center initiatives. We think QCOM is executing its diversification strategy with increasing tangibility, backed by its disclosed product roadmap, \$3.9B Modular acquisition for full-stack AI platform development, and expanded automotive pipeline now at \$65B. Management gave greater clarity on transformation efforts with IoT revenue target exceeding \$14B by FY 29. With handsets expected to represent only ~one-third of QCT revenues by FY 29, we see QCOM's investment case shifting fundamentally toward a more durable, multi-vertical AI platform with favorable operating leverage as the mix shift materializes. / Angelo Zino, CFA

May 29, 2026

01:03 PM ET... CFRA Maintains Buy Opinion on Shares of QUALCOMM [QCOM 252.06****]:
We raise our 12-month target price to \$300 from \$220, on P/E of about 24x our CY 28 EPS estimate of \$12.50, above peers and historical averages to reflect emerging growth opportunities and diversification. We keep our FY 26 EPS at \$10.67 and FY 27's at \$10.75. We start FY 28 at \$12.15. Our positive outlook reflects several factors that we believe are underappreciated by the market at current valuation levels. We see QCOM successfully executing its diversification strategy with tangible momentum in automotive, IoT, and the emerging data center opportunity, reducing reliance on the cyclical handset market and mitigating risks from the Apple modern transition. The near-term handset weakness led by memory supply constraints appears transitory and supply-driven rather than demand-driven, with a trough seen in Android markets during the Jun-Q. QCOM's entry into data center custom silicon also represents a material new revenue stream with favorable economics, validated

by a multi-generation hyperscaler engagement. / Angelo Zino, CFA

April 30, 2026

05:46 AM ET... CFRA Maintains Buy Opinion on Shares of Qualcomm Inc. [QCOM 156.00****]:
We boost our 12-month target price to \$220 from \$170, implying a higher revised P/E of about 20x our CY 27 EPS view of \$11.10, above peers and historical. After mixed Mar-Q results/Jun-Q guide, we adjust our FY 26 [Sep.] EPS estimate to \$10.67 from \$11.06 and FY 27's to \$10.75 from \$10.95. Despite near-term share loss across the smartphone space as QCOM has to contend with memory supply constraints and lost Apple business, we think Android orders are in a near bottoming process. We do believe that as QCOM's revenue mix diversifies, with recent momentum from data centers and automotive, it will warrant a higher valuation. A custom silicon hyperscaler win, with initial shipments seen by CY end is a material validation of QCOM's data center strategy and a new high-margin revenue stream that could scale rapidly. Combined, automotive [sales seen accelerating to +50% in Jun-Q from 38% in Mar-Q] and IoT now represent approximately 34% of QCT revenues, and we see these segments reaching 50% within three to five years. / Angelo Zino, CFA

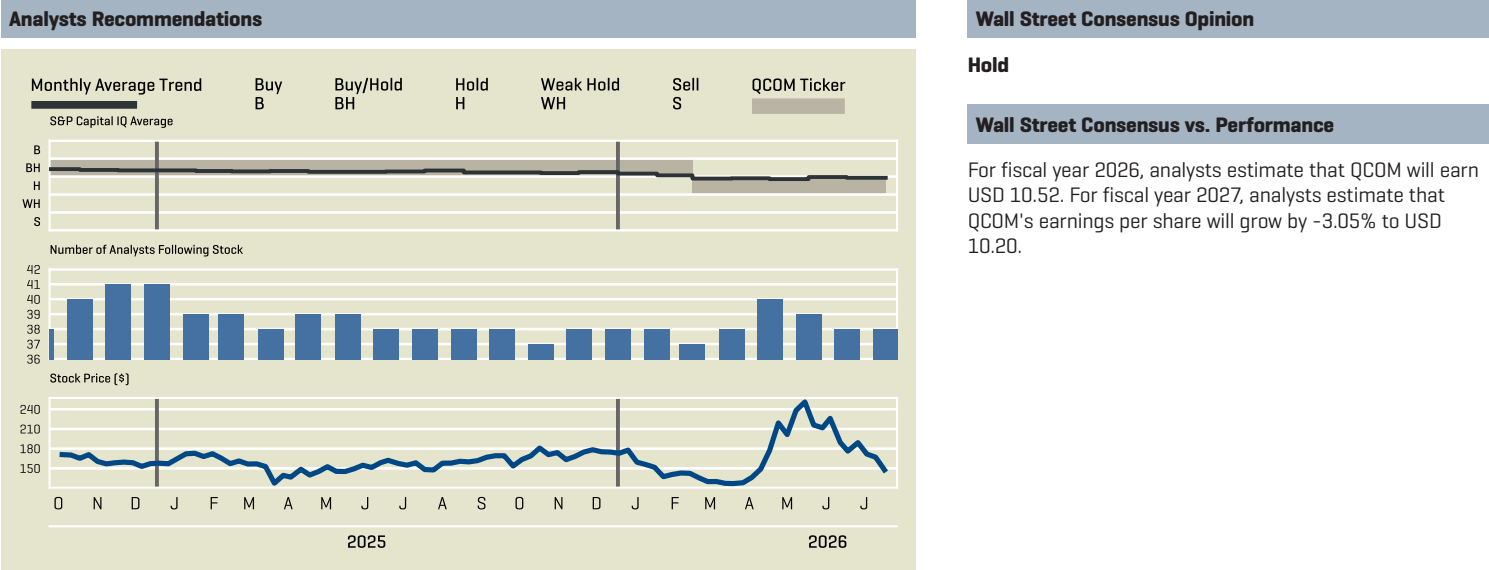
April 29, 2026

04:50 PM ET... QCOM: Mar-Q Beats; Navigating the Storm as Best as it Can [QCOM 156.00****]:
QCOM posted Mar-Q revenues of \$10.6B [-3% Y/Y] vs. the \$10.4B expected, with Non-GAAP EPS of \$2.65 [-7% Y/Y] vs. the \$2.56 forecast. The revenue decline reflects memory supply constraints impacting handset demand, with QCT down 4% to \$9.1B and handset revenues declining 13% to \$6.0B, while QTL was up 5% to \$1.4B with 72% margins. QCOM's diversification strategy shows strong momentum with automotive at a record \$1.3B [+38% Y/Y] and IoT growing 9% to \$1.7B, validating QCOM's strategic pivot toward higher-growth markets. Jun-Q guidance of \$9.2B-\$10.0B revenues and \$2.10-\$2.30 EPS compares to consensus estimates of \$9.6B/\$2.43, reflecting continued memory headwinds. We see progress in data center opportunities with hyperscaler engagement on track for initial shipments in calendar 2026. QCOM expects Chinese handset revenues to trough in Jun-Q before sequential growth in Sep-Q, and announced a new \$20B share repurchase authorization, demonstrating long-term confidence. / Angelo Zino, CFA

February 05, 2026

09:54 AM ET... CFRA Maintains Buy Opinion on Shares of QUALCOMM Inc. [QCOM 130.52****]:
We cut our 12-month target to \$170 from \$220, on a lower revised P/E of 15x our CY 27 EPS of \$11.10, below peers and historical averages [10-year at 16x] given expected near-term smartphone share loss and elusive revenue/eps growth. We reduce our FY 26 [Sep.] EPS estimate to \$11.06 from \$11.95 and FY 27 to \$10.95 from \$12.08. Near-term, we expect QCOM's outlook to be dampened by sharply lower handset volume [seen down 13% Y/Y in Mar-Q; -23% seq.], as memory constraints will cause handset OEMs (especially in China) to reduce build plans/chipset orders. We note QCOM believes the impact is 100% supply related, with consumer demand still healthy. Despite this, QCOM's long-term diversification strategy appears to be accelerating, with the Automotive business inflecting positively [seen accelerating to +35% in Mar-Q] and benefiting from new partnerships and content growth. We also see opportunities and offerings in the Industrial IoT and Data Center markets, but acknowledge that investors will need to be patient. / Angelo Zino, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.



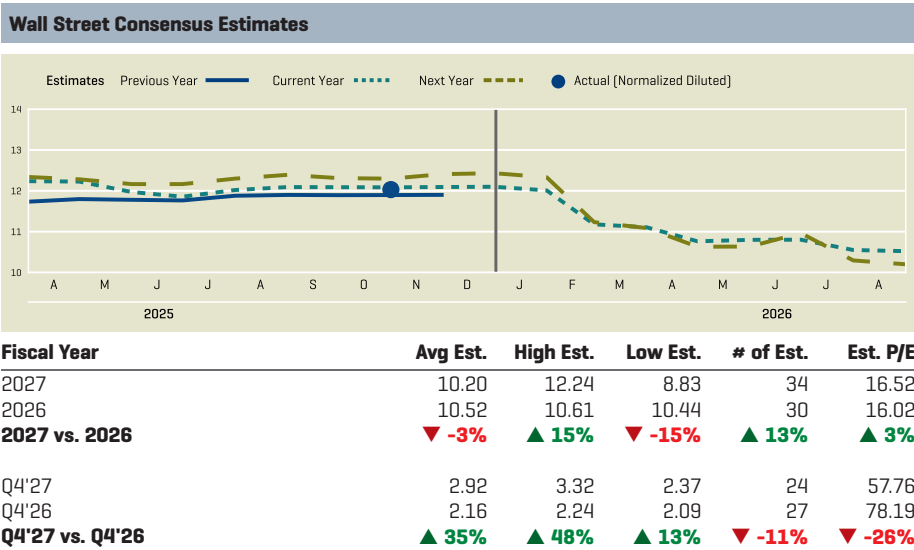
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2026, analysts estimate that QCOM will earn USD 10.52. For fiscal year 2027, analysts estimate that QCOM's earnings per share will grow by -3.05% to USD 10.20.

	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	9	24	9	10
Buy/Hold	2	5	2	2
Hold	23	61	23	23
Weak hold	2	5	2	2
Sell	1	3	1	1
No Opinion	1	3	1	1
Total	38	100	38	39



Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

QUALCOMM Incorporated

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



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Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2026

Ranking	North America	Europe	Asia	Global
Buy	44.8%	47.5%	50.5%	46.7%
Hold	42.1%	41.1%	44.5%	42.4%
Sell	13.1%	11.3%	5.0%	10.9%
Total	100.0%	100.0%	100.0%	100.0%

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